

Sabesp (SBS): São Paulo Water Infrastructure

Sabesp trades at **\$4.85 (\$17.06B Market Cap)**, down -32.2% from \$7.16 highs. SBS is Brazil's largest water utility, generating **40.9B BRL in revenue and 15.2B BRL in EBITDA (37.2% margin)**.

Following its successful privatization by the State of São Paulo, Sabesp is deploying an aggressive multi-year capex plan to achieve universal sewage coverage by 2029, resulting in temporary negative FCF during the asset expansion phase.

VALUATION AT \$4.85

10.0× Forward P/E

10.3x Trailing P/E

OPERATING ENGINE

15.2B BRL EBITDA

37.2% EBITDA Margin

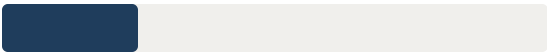
VERDICT & SIZING

WATCH / GATED

Gated on post-privatization tariff review

The Key Financial Metrics in One View

EBITDA Margin (%)  37.2%

Forward P/E Multiple  10.0×

EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET LEVEL	ALLOCATION	EXECUTION RATIONALE
Watch Envelope	\$4.50 – \$4.80	1.00% (\$10,000)	Gated on regulatory tariff milestone execution.
All adjudications executed non-destructively under SignalOS Court Doctrine.			